Note 7. Income Taxes

Earnings before income taxes were derived from the following sources:

	2009	2008	2007
Domestic	**$296,227**	434,816	374,920
Foreign	**1,263**	16,351	2,979
	$297,490	451,167	377,899

Components of income tax expense (benefit) are as follows:

2009:	Current	Deferred	Total
Federal	**$ 93,469**	**4,855**	**98,324**
State	**13,733**	**698**	**14,431**
Foreign	**1,210**	**(832)**	**378**
	$108,412	**4,721**	**113,133**

2008:	Current	Deferred	Total
Federal	$137,751	5,501	143,252
State	21,780	(243)	21,537
Foreign	6,769	(96)	6,673
	$166,300	5,162	171,462

2007:	Current	Deferred	Total
Federal	$127,675	(3,051)	124,624
State	18,289	(266)	18,023
Foreign	3,536	(906)	2,630
	$149,500	(4,223)	145,277

Income tax expense in the accompanying consolidated financial statements differs from the expected expense as follows:

	2009	2008	2007
Federal income tax expense at the “expected” rate of 35%	**$104,122**	157,908	132,265
Increase (decrease) attributed to:			
State income taxes, net of federal benefit	**9,650**	13,914	11,715
State tax matters	**785**	1,020	1,350
Other, net	**(1,424)**	(1,380)	(53)
Total income tax expense	**$113,133**	171,462	145,277

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The tax effects of temporary differences that give rise to deferred tax assets and liabilities as of December 31 are as follows:

	2009	2008
Deferred tax asset (liability):		
Inventory costing and valuation methods	**$ 3,462**	3,573
Allowance for doubtful accounts receivable	**1,619**	1,023
Insurance claims payable	**7,538**	6,380
Promotions payable	**963**	743
Accrued legal reserves	**356**	3,955
Stock based compensation	**3,648**	2,152
Federal and state benefit of uncertain tax positions	**534**	1,929
Other, net	**876**	1,555
Total deferred tax assets	**18,996**	21,310
Fixed assets	**(23,083)**	(19,298)
Total deferred tax liabilities	**(23,083)**	(19,298)
Net deferred tax (liability) asset	**$ (4,087)**	2,012

No valuation allowance for deferred tax assets was necessary as of December 31, 2009 and 2008. The character of the deferred tax assets is such that they can be realized through carryback to prior tax periods or offset against future taxable income.

We adopted the provisions of Accounting Standards Codification (ASC) 740, *Income Taxes* on January 1, 2007. Implementation of ASC 740 resulted in no adjustment to the liability for unrecognized tax benefits. A reconciliation of the beginning and ending amount of total gross unrecognized tax benefits is as follows:

	2009	2008
Balance at January 1,	**$ 5,657**	5,143
Increase related to prior year tax positions	**2,096**	574
Decrease related to prior year tax positions	**—**	(230)
Increase related to current year tax positions	**571**	1,411
Decrease related to statute of limitation lapses	**(161)**	(321)
Settlements	**(6,558)**	(920)
Balance at December 31,	**$ 1,605**	5,657

Included in the liability for unrecognized tax benefits is an immaterial amount for interest and penalties, both of which we classify as a component of income tax expense.

Fastenal Company or one of its subsidiaries files income tax returns in the U.S. Federal jurisdiction, all states, and various foreign jurisdictions. With limited exceptions, we are no longer subject to income tax examinations by taxing authorities for taxable years before, in the case of United States Federal and non-United States examinations, 2006 and, in the case of state and local examinations, 2003.

At December 31, 2009 and 2008, the amount of unrecognized tax benefits that would favorably impact the effective tax rate if recognized, is not material.